ACADEMIC CENTRAL

PRACTICE EXAMINATION

GRADE 7

ECONOMIC AND MANAGEMENT SCIENCES

PAPER 1 · PRACTICE A · MARKING GUIDELINE

MARKS: 100

Marking guideline for the Academic Central Grade 7 Economic and Management Sciences paper 1 · practice a.

Written by Academic Central for practice, following the CAPS curriculum for Grade 7. It is not a Department of Basic Education marking guideline.

How to mark: each ✓ is one mark. Accept other correct examples and answers in the learner's own words. In calculations give method marks even if the final answer is wrong (consistent accuracy).

SECTION A

QUESTION 1

1 1.1 C ✓ 1.2 A ✓ 1.3 D ✓ 1.4 B ✓ 1.5 D ✓ 1.6 B ✓ 1.7 C ✓ 1.8 A ✓ 1.9 B ✓ 1.10 D ✓ (10)

QUESTION 2

2 2.1 Needs ✓ 2.2 Wants ✓ 2.3 Goods ✓ 2.4 Expenses (expenditure) ✓ 2.5 Interest ✓ 2.6 Surplus ✓ 2.7 Deficit ✓ 2.8 Cash ✓ 2.9 Consumers ✓ 2.10 Profit ✓ (10)

TOTAL SECTION A: [20]

SECTION B

QUESTION 3

3.1.1 Exchanging goods or services directly for other goods or services ✓ without using money ✓ (2)

3.1.2 Any TWO: you must find someone who has what you want AND wants what you have (double coincidence of wants) ✓; no common measure of value ✓; some goods cannot be divided (e.g. a cow); some goods go off (perishable); goods are difficult to carry (2)

3.1.3 Any TWO: cattle ✓; cowrie shells ✓; beads; salt; iron or copper bars; grain (2)

3.1.4 Any TWO: medium of exchange (used to buy and sell) ✓; measure of value (shows what things are worth) ✓; store of value (can be saved) (2)

3.2 (a) Any TWO: debit or credit card ✓; electronic funds transfer (EFT) / internet banking ✓; cell phone banking; QR-code or app payments; ATM transfers (3)
(b) Any ONE: fraud or scams (e.g. phishing messages) ✓; card skimming; stolen PIN; no network

3.3.1 (a) Need ✓ (b) Want ✓ (c) Need ✓ (3)

3.3.2 Wants are unlimited but money and resources are limited (scarce) ✓, so households must choose what is most important and buy needs first ✓. (2)

3.4.1 Any TWO: unemployment ✓; lack of education and skills ✓; low wages; illness (e.g. HIV); the effects of past inequality; large families with one income (2)

3.4.2 Any TWO: social grants (child support, old-age) ✓; free schooling / no-fee schools ✓; school nutrition programme; RDP houses; free basic water and electricity; free clinics (2)

3.4.3 Any TWO: hungry learners cannot concentrate ✓; cannot afford books, uniforms or transport ✓; may stay away from school to work or look after siblings; no electricity or quiet place to study (2)

3.5 (a) Good, e.g. bread, a pen ✓; service, e.g. a taxi ride, a doctor's visit ✓ (b) The government ✓ (3)

[25]

SECTION C

QUESTION 4

4.1.1 $\text{R}9\,500 + \text{R}3\,800 + \text{R}560$ ✓ $= \text{R}13\,860$ ✓ (2)

4.1.2 $\text{R}4\,000 + \text{R}3\,500 + \text{R}1\,600 + \text{R}900 + \text{R}450 + \text{R}700 + \text{R}550 + \text{R}1\,000$ ✓ $=$ $\text{R}12\,700$ ✓ (2)

4.1.3 Surplus ✓ $\text{of R}13\,860 - \text{R}12\,700 = \text{R}1\,160$ ✓ (2)

4.1.4 Any TWO: rent ✓; school fees ✓; cell phone contracts; clothing account instalment; savings (2)

4.1.5 Any TWO: food ✓; transport ✓; electricity (2)

4.1.6 $10\% \times \text{R}900 = \text{R}90$ ✓ $\text{R}900 + \text{R}90 = \text{R}990$ ✓ (2)

4.1.7 Any TWO: save electricity (switch off lights, use a geyser timer) ✓; buy food in bulk or on special ✓; use cheaper cell phone packages; walk or share lifts; avoid buying clothes on account (2)

4.1.8 Money is available for emergencies ✓ and for future goals (e.g. education), so the family does not have to borrow ✓. (2)

4.2.1 $\text{R}150 \times 12$ ✓ $= \text{R}1\,800$ ✓ (2)

4.2.2 $\text{R}1\,800 \times 6\%\ (\times\ 1\ \text{year})$ ✓ $= \text{R}108$ ✓ (2)

4.2.3 Any TWO: for emergencies ✓; to buy something expensive later (a goal) ✓; for education; for old age (retirement); to earn interest (2)

4.2.4 Any TWO: the money is safer from theft or fire ✓; the bank pays interest ✓; you are less tempted to spend it (2)

4.3 (a) Income ✓ (b) Expense ✓ (c) Income ✓ (d) Income ✓ (e) Expense ✓ (f) Expense ✓ (6)

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SECTION D

QUESTION 5

5.1 A person who sees an opportunity and starts a business ✓, taking a risk in order to make a profit ✓ (2)

5.2 Any TWO: hard-working ✓; creative / has new ideas ✓; willing to take risks; confident; good with people; does not give up (perseverance); good planner (2)

5.3.1 Any TWO: a questionnaire / survey ✓; interviews (asking learners what they would buy and at what price) ✓; looking at what other sellers sell (observing competitors); a taste test (2)

5.3.2 $\text{R}240 + \text{R}48 + \text{R}30 \checkmark = \text{R}318 \checkmark$ (2)

5.3.3 $\text{R}318 \div 48 \checkmark = \text{R}6{,}63 \checkmark$ (2)

5.3.4 $(\text{a})\ 48 \times \text{R}10 = \text{R}480 \checkmark \quad (\text{b})\ \text{R}480 - \text{R}318 \checkmark = \text{R}162 \checkmark$ (3)

5.3.5 Any TWO: posters ✓; announcements at assembly ✓; flyers; free tasters; word of mouth; a class social media group (2)

5.3.6 Any TWO: wash hands before handling food ✓; cover the food ✓; use tongs or gloves; tie back hair; keep the table clean (2)

5.4 (a) Flour, eggs, water (ingredients) ✓ (b) The learners who bake and sell ✓ (c) The oven, baking pans or the money used to buy ingredients ✓ (d) The group who plans, organises and takes the risk ✓ (4)

5.5 A product business sells things you can touch; a service business does work for people ✓. Example of each, e.g. a spaza shop / a hairdresser ✓ (2)

5.6 Any TWO: poor planning ✓; not enough customers (no market research) ✓; prices too high or too low; poor money management; strong competition; bad service (2)

[25]

TOTAL: 100

END OF MARKING GUIDELINE